TOPIC ② · SAMPLE MC #2

# What makes a good segmentation?

📄 SAMPLE **HOW IT WAS ASKED**

"A marketing manager divided her market by residential geography into an eastern and a western segment. Was this a good segmentation scheme?"

✔ **It depends on whether the consumers within each division were relatively homogeneous in their reactions to marketing variables and the two divisions were sufficiently different from each other**

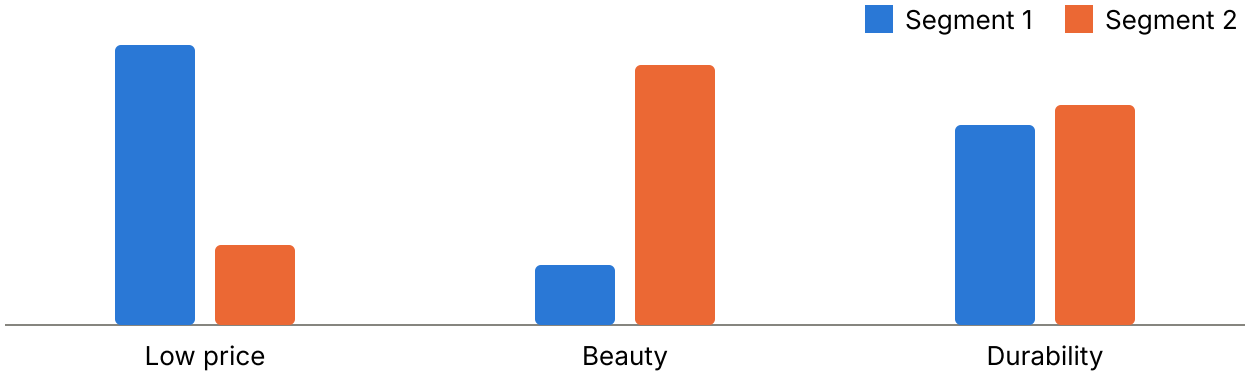
✘ Yes, east and west are distinct, no overlap · ✘ No, geography is never good · ✘ No, hard to observe/reach · ✘ It depends on whether there is sufficient *heterogeneity within* each division

## Learn it

PLAIN ENGLISH

**Segmentation** = splitting a market into groups of customers so you can serve each group well. Why bother? Because different people want different things. If you design for the "average" customer, you design for nobody. Kahn's slide: **"Serving the average buyer well serves no one."**

**Two segments care about different things** (slide example)




### The test for a GOOD segmentation (this is what the sample tests)

✔ **Homogeneous WITHIN**

People in the same group **react the same way** to the 4Ps: same price sensitivity, same message appeal, same channels.

### ✔ Heterogeneous BETWEEN

The groups are **meaningfully different** from each other, so they deserve different marketing.

Also: **identifiable** (can you tell who's in it?), **reachable** (can you get to them?), big and profitable enough, and **actionable** ("segmentation is only valuable if it is actionable").

**WHY EACH WRONG OPTION IS WRONG**

- "East and west are distinct, no overlap": being separate on a map doesn't mean they **behave** differently.
- "Geography is never good": too absolute. Geography works when needs truly differ by place (climate, culture).
- "Hard to observe and reach": geography is actually very **easy** to see and reach.
- "Sufficient heterogeneity WITHIN": **backwards**. You want sameness within, difference between. Watch for this flip!

## What variables can you segment on? 📊 SLIDES

| Type | Consumer examples | B2B examples |
|---|---|---|
| Geographic | zip, region, country | zip, region, country |
| Demographic | age, gender, income, family size, education | industry, company size, sales, R&D budget |
| Psychographic | personality, lifestyle, media habits | corporate culture, power structure |
| **Attitudinal** | **benefits sought, price sensitivity, brand loyalty** | **benefits sought, price sensitivity, supplier loyalty** |
| Behavioral | usage occasion, usage rate, repeat buying / CLV | applications, order size, existing relationships |

**BENEFIT SEGMENTATION = BEST, BUT TRICKY**

People buy different products because they want **different benefits**. But you **can't see** what someone wants. So find **visible variables that go along with** the benefit sought (which aisle

they shop, how often they buy).

**WHY GENDER IS A WEAK SHORTCUT**

"Tactical, but is it strategic?" ① Stereotypes everyone in the group. ② Shrinks your market and may alienate people. ③ People fit neat categories less and less. ④ Can seem unfair. Note: gender IS easy to observe, so that isn't the problem.

### Quidel: the model example of segmentation done right 📊 SLIDES

Same pregnancy test, two groups with opposite hopes, so **every one of the 4Ps** differed:

| | **"Hopefuls" (want a baby)** | **"Fearfuls" (don't)** |
|---|---|---|
| Who | older, more money, likely married | younger, less money, maybe single |
| Promise | simplest, most trusted way to know your family will grow | peace of mind in 30 seconds |
| Where | pregnancy-test aisle | birth-control aisle |
| Extensions | ovulation tests | strep, chlamydia self-tests |
| **Price** | **$9.49** | **$6.99** |

"Firms do not create segments, they **uncover** them." In the simulation you get 6 segments with size, CLV, and preferences, and you **choose** which to target. 🎤 CLASS

## Practice: multiple choice (9), with answers

**MC 1 [SAMPLE EXAM]**

### A marketing manager wanted to segment her market. She divided it by residential geography into an eastern segment and a western division. Was this a good segmentation scheme?

- **✔ CORRECT: It depends on whether the consumers within each division were relatively homogeneous in their reactions to marketing variables and the two divisions were sufficiently different from each other**
- Yes, because east and west are distinct segments, there is no overlap
- No, because geography is never a good way to segment a market
- No, because these are segments that are hard to observe and hence would be hard to reach
- It depends on whether there is sufficient heterogeneity within each geographic division

**EXPLANATION**

A good segment = people who respond the SAME way inside the group, and DIFFERENTLY from the other group. Being on different sides of a map doesn't guarantee that. The last option is a trap: it flips 'within' and 'between.'

**MC 2 [SLIDES]**

### The phrase 'serving the average buyer well serves no one' means:

- **✔ CORRECT: Different groups weigh attributes differently, so a product built for the 'average' fits no real group well**
- Average buyers are unprofitable
- Firms should only target the richest buyers
- Mass marketing is illegal

**EXPLANATION**

If one group wants low price and another wants beauty, a product designed for the middle satisfies neither.

MC 3 [SLIDES]

### Benefit segmentation is the most meaningful but hardest to use because:

- **✔ CORRECT: You can't directly see what benefit someone wants, so you need visible variables that correlate with it**
- Benefits are identical across people
- It is too cheap
- It only works for B2B

**EXPLANATION**

Wants live in people's heads. Marketers use visible clues, like which aisle someone shops or how often they buy, that go along with those wants.

MC 4 [SLIDES]

### Which is NOT one of Kahn's criticisms of using gender as a segmentation shortcut?

- **✔ CORRECT: Gender is hard to observe**
- It stereotypes everyone in the group
- It shrinks the market and may alienate people
- It can seem unfair

**EXPLANATION**

Gender is easy to see, which is exactly why it's tempting. The problems are stereotyping, alienation, people not fitting boxes, and fairness.

MC 5 [SLIDES]

## In the Quidel case, what made the segmentation actionable?

- **✔ CORRECT: Each segment ('Hopefuls' vs 'Fearfuls') got a different positioning, aisle, extensions, and price**
- Both segments got the same product and ad
- It segmented by gender
- It ignored the 4Ps

**EXPLANATION**

Segments are only useful if you act on them. Quidel changed all four Ps for each group, e.g., $9.49 in the pregnancy aisle vs $6.99 in the birth-control aisle.

MC 6 [SLIDES]

## 'Firms do not create segments, they _____ them.'

- **✔ CORRECT: uncover**
- advertise
- price
- merge

**EXPLANATION**

Groups with different needs already exist. Research reveals them.

MC 7 [SLIDES]

### Usage rate, usage occasion, and repeat purchasing (CLV) are which type of segmentation variable?

- ✔ **CORRECT: Behavioral**
- Demographic
- Psychographic
- Geographic

**EXPLANATION**

Behavioral = what people actually DO with the product. Demographic = who they are (age, income). Psychographic = personality and lifestyle.

MC 8 [SLIDES]

### On the targeting grid, a segment that's highly attractive but a POOR fit with your company is labeled:

- ✔ **CORRECT: Beware shake-out**
- Perfect!
- Domination is essential
- Stay away

**EXPLANATION**

Attractive markets draw strong rivals; if you don't fit well, you'll be pushed out when the market gets crowded.

MC 9 [SAMPLE EXAM]

## Geography would be a GOOD segmentation basis when:

- **✔ CORRECT: Needs and responses to marketing truly differ by location (e.g., climate, culture)**
- Customers live in different zip codes
- It is easy to draw a map
- There are exactly two regions

**EXPLANATION**

Location only matters if it changes what people want or how they respond. Snow-tire buyers really do differ by region.

# Practice: short answers (3), with model answers

**SHORT ANSWER 1 (9 points)**

## A sneaker company segments its market by age: under 30 vs. 30+. Evaluate whether this is a good segmentation scheme.

### What a full-credit answer covers

- States the criteria: homogeneous within, heterogeneous between in response to marketing variables
- Applies them: do under-30s respond similarly (price, style, channels)? Do they differ from 30+?
- Notes age is observable and reachable (easy), but may be a demographic shortcut that misses benefits sought
- Suggests benefit/behavior-based alternatives (performance runners vs fashion buyers) with observable proxies
- Concludes 'it depends' with a test, and mentions actionability (different 4Ps per segment)

**MODEL ANSWER**

It depends. A segmentation is good only if people within each group respond similarly to the marketing mix and the groups differ from each other. Age is easy to observe and reach, but it's a demographic shortcut. Many under-30s buy for fashion while others buy for performance running, and plenty of 30+ buyers share those same needs, so the groups may be mixed inside and similar between. A better approach segments by benefit sought (performance vs. style vs. comfort) and finds observable proxies (store type, usage rate, sports participation). If research showed under-30s really do differ in price sensitivity, style preferences, and channels, the age split could work, as long as each segment gets its own 4Ps.

SHORT ANSWER 2 (9 points)

## Is gender a good basis for segmentation? Discuss.

### What a full-credit answer covers

- Pro: easy to observe, reach, and act on (tactical)
- Con: stereotyping
- Con: shrinks market / alienates
- Con: people fit categories less; fairness concerns
- Better: benefit/behavior segmentation with observable correlates; conclusion

**MODEL ANSWER**

Gender is tempting because it's easy to observe and target, but Kahn calls it 'tactical, but is it strategic?' It assumes everyone of one gender wants the same thing, which risks stereotyping. It can shrink the market and alienate people outside the target. Consumers fit neat categories less and less, and it can seem unfair that some people get different offerings. A stronger approach segments by the benefit people seek and uses observable behaviors that correlate with that benefit. Gender can be a helpful proxy only when research shows needs truly differ.

SHORT ANSWER 3 (9 points)

## Using the Quidel example, explain how segmentation should drive the marketing mix.

### What a full-credit answer covers

- Describes the two segments and their opposite needs (Hopefuls vs Fearfuls)
- Different positioning statements
- Place: different aisles
- Product extensions and price differences ($9.49 vs $6.99)
- Lesson: segments must be actionable; the same physical product can have different value

**MODEL ANSWER**

Quidel's CEO realized the company couldn't be all things to all people. Pregnancy-test buyers split into 'Hopefuls' (trying to conceive; older, more income, likely married) and 'Fearfuls' (hoping not to be pregnant; younger, less income, possibly single). The same test therefore got two marketing mixes. Hopefuls: 'the simplest, most trusted way of knowing when your family will grow,' sold in the pregnancy aisle at $9.49, extended to ovulation tests. Fearfuls: 'a reliable source of peace of mind in 30 seconds,' sold in the birth-control aisle at $6.99, extended to STD self-tests. Segmentation pays off only when it is actionable: each segment's needs drive every P.